

However, Bitcoin has done something arguably more impressive than Uber, Airbnb, and LendingClub. Those companies decentralized services that were easily understandable and had precedent for being peer-to-peer. Everyone has had a friend drive them to the airport, or stayed with a relative in another country, or borrowed money from their parents. Decentralizing a currency, without a top-down authority, requires coordinated global acceptance of a shared means of payment and store of value.

Currency originally came about to facilitate trade, allowing society to move past barter and the *double coincidence of wants*. It has evolved over time to be more convenient, resulting in its present paper state. Inherently, that paper has little value other than the fact that everyone else thinks it has value and the government requires it be accepted to fulfill financial obligations. In that sense, it is a usefully shared representation of value. The libertarians in the room would say it's a *usefully shared illusion* of value, going back to the idea the paper itself is worth little. Bitcoin is a similarly shared representation of value, except it has no physical manifestation and no top-down authority to protect it. Despite these hurdles, the elegance of the mathematics that allow it to function has also allowed it to grow and store billions in value.

THE INNER WORKINGS OF BITCOIN'S BLOCKCHAIN